GMS WEEKLY

Your Source for Recycling News

June 13th, 2025
Week 24
Volume 273, Issue 1189

Highlights:

- **3-part HKC Webinar.**
- **Global dramas.**
- **Shadow moves.**
- **HKC due.**
- **Trickle persists.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"Tomorrow is the first blank page of a 365-page book. Write a good one."

– Brad Paisley

-- MARKET COMMENTARY --

GMS CELEBRATES HKC!

GMS is pleased to announce a special three-part webinar series titled "**HKC Compliance: What the Maritime Industry Needs to Know,**" being hosted on **June 25th & June 26th, 2025**. This event marks the entry of the Hong Kong International Convention for the Safe and Environmentally Sound Recycling of Ships (HKC), which officially enters into force on **June 26, 2025**. Implemented by the **International Maritime Organization (IMO)** in 2009, the Hong Kong Convention (HKC) establishes binding global standards for the safe and environmentally sound recycling of ships. The Convention enters into force after 16 years, following ratification by nations representing over 40% of the world's merchant fleets. It introduces legally binding requirements for shipowners, recycling facilities, and flag states worldwide. **Participation as always, is free with advance registration.** One registration gives you access to all three sessions. Register your spot via the following the link at https://us06web.zoom.us/webinar/register/3217498297589/WN_kLd2bjyvRxuaO3ZnZ1o3jg

In other worldwide news, the unending volatility that the world is barely getting used to through 2025, skyrocketed this week not only did Israel strike Iranian nuclear sites, arms facilities, and oil depots across the country, but Trump also revived the tariff wars once again asking for all nations to present renewed offers and barter fresh trade negotiations that saw economic volatility return with a vengeance this week. To start with, as Israel struck several sites across Iran over 50 straight hours including major oil refineries, oil futures surged by over 7.2% in a matter of a couple of days that saw oil futures settle at USD 73 / barrel, as further waves of attacks near the Gulf of Hormuz spark fears of oil export disruptions. Freight rates meanwhile tailed along with an overall 3.4% jump reported by the Baltic Exchange Dry Index, with Capes and Panamax sectors reporting 4.7% and 1.9% jumps respectively, reaching their highest levels in 2 months. The resulting chaos saw the U.S. Dollar surging against all major ship recycling nations while local steel plate prices fell sharply in India, Bangladesh, and even China.

The Indian sub-continent recycling markets meanwhile have been on a downward spiral for most of this year and this week was no different, with offers retreating across the market rankings and owners firmly in the area of chasing market levels amidst an economic and global uncertainty that was expected to deliver an influx of recycling tonnage and is yet to be fully seen. Indeed, constant geopolitical drama seems to be depriving recycling markets of all types of tonnage amidst rising freight rates as dry bulk, tanker, and even container sectors remain artificially propped up on the back of a depressing cycle of wars, tariffs, tensions, and regional traumas. A growing shadow of dark fleets is also depriving ship recyclers from their customary supply of tonnage, as sanctions and constantly changing regulations bite, and then force lucrative trade routes out of those unwilling to risk it. Meanwhile, the imminent inception of the Hong Kong Convention into force in the next 10 days has seen strides made (in terms of upgrades to facilities) as Bangladesh looks to fall in line with the advancements India has made over the last several years, whilst Pakistan lags a healthy ways behind the competition. As we enter the traditionally quieter monsoon season in the sub-continent, a trickle of tonnage is expected to make its way to sub-continent shores for recycling – giving yards in both Bangladesh and especially Pakistan, time to continue and complete their upgrades before supply increases again. Turkey on the far end, remains quiet and missing from the bidding tables.

BANGLADESH

CERTIFYING AT PACE!

2 weeks away.

Upgrade works continue at pace in Bangladesh as several more ship recycling yards received their HKC accreditations ahead of the official entry of the Convention into force in less than 2 weeks. Sadly, the crippling restrictions on NOC issuances have had a disastrous effect on the rate of vessel imports into the country as no fresh units have arrived Chattogram over the last 2 weeks and a lonely small LDT RoRo cargo vessel has been idling outside during this time. Reports of previously concluded deals to non-HKC approved yards that have arrived outside port limits and are still awaiting their respective permissions to enter once yards receive their HKC accreditations and the business of recycling can resume as usual.

Upgrades in progress.

The Bangladeshi budget has meanwhile delivered with it, a few surprises last week that included a marginal increase in taxes on the industry that are expected to affect vessel pricing by about USD 5/LDT moving forward, adding further pressure on local sentiments that are already seeing vessel prices retreating in the face of falling fundamentals through the heavy rains. Not only have local steel plate prices fallen by about USD 7/Ton to end the week at about USD 548/Ton, but the Bangladeshi Taka also fell 19 basis points to end the week at BDT 122.10 against the U.S. Dollar, while barely grazing BDT 122.95 late in the week.

Occupied.

The country also remains soaked through ongoing Eid holidays that are expected to conclude next week, and local trade has come to a virtual standstill while local businesses and industries remain closed. Moreover, on the back of a recently concluded 'green' deal to an HKC yard at a discounted price, lower overall offers have been emanating from local recyclers across the span of the week. Yet, inflation keeps falling as the domestic rate fell to 9.05% through May, down from 9.17% in April and in conjunction with the recent budget, this should hopefully see thing improve towards the end of the monsoon season in Q3.

In the interim, tonnage continues to be clearly redirected towards WC India shores on account of no open yards in Bangladesh and Chattogram recyclers already lowering their prices, which will leave more time for local yards to continue upgrades as much work lies ahead – including installation of concrete cutting surfaces, installation of hazardous waste disposal facilities, and finally, conducting of work safety, and equipment and training programs for yard workers and supervisors alike.

Clockwork.

Overall, despite several larger LDT sales taking place into Chattogram over recent weeks and many of these newly certified HKC yards are now satisfied and occupied with tonnage, we are, like clockwork, witnessing demand and pricing take a hit as we firmly enter the traditionally quieter summer / monsoon months.

NO MARKET SALES REPORTED

INDIA

ALARM BELLS?

Not stabilising.

The alarming price declines witnessed from India over the last month have hardly shown signs of abating or even stabilising as yet, with levels in the low USD 400s/LDT for bulkers (some reportedly even seeing indications in the high USD 390s/LDT) that has now placed India as the lowest of all sub-continent markets for another week. As the country recovers from Operation Sindoor back in May, local steel prices have unrelentingly softened off the back of ongoing tariff dramas emanating from the U.S. and the recent 50% tariffs on steel exports from various countries (including China) has already had a knock on effect in Alang across recent weeks, as Indian recyclers remain fearful of a repeat of the dumping of cheaper steel into the domestic markets that has caused so much trouble for vessel offers over previous years (despite India's own punitive tariffs on same).

Cheap steel repeat?

And while local steel plate prices fell about USD 5/Ton across the week, the overall decline has been about USD 30/Ton over the last months or so. The Indian Rupee too has been taking a beating once again as it declined 42 basis points against the U.S. Dollar and closed the week out at levels Rs. 86.14. And although India remains the financially strongest of all of the major international ship recycling markets, things might even out across Q2 / early Q3 as reports of ongoing discussions with the Trump administration seem to be making fruitful progress and possible news of potential trade deals being successfully reached are making the rounds.

Currency woes.

However, domestically the situation could change very soon given India has been a major importer of Iranian oil on account of healthy relations between the two nations and given that the IDF is targeting oil refineries and oil installations across Iran, could see fuel and gas hikes across the nation causing inflation to potentially rise again despite retail inflation hitting a 6 year low at 2.82%, as the RBI (Reserve Bank of India) decidedly cut interest rates in an effort to fuel local businesses.

Alang's ship recycling sector meanwhile continues on despite being lowest placed on the market rankings on account of Bangladeshi recyclers completely bowing out at the bidding tables and with the HKC now entering into effect a mere 10 days away, most ship owners and cash buyers are unwilling to take a chance on a non-HKC Pakistan and this has seen Alang's waterfront balloon with tonnage arrivals this week, given that nearly 55K LDT and 7 vessels - including two large LDT tankers arrived the nation's recycling anchorage this week.

Best suited?

Overall, and compared to the regional competition, Alang is certainly best positioned at the current time to take in tonnage without any hiccups (HKC or otherwise), just maybe not at a price that is matching ship owners intended expectations of "last done" as the market is clearly on the drop.

NO MARKET SALES REPORTED

PAKISTAN

WORK ONGOING!

Forging on.

As Bangladesh forges on to complete HKC upgrades at all ship recycling yards in Chattogram and remains keen to continue buying recycling tonnage ahead of a much busier next few years ahead, it is now Pakistan's time to shine with rapid upgrades of their own! Authorities in the country have recently taken encouraging steps by mandating that all future recycling vessels that are arriving Gadani, have valid IHMs on board in order to allow entry and beaching. However, far more investment guarantees are needed at Gadani yards, in order to stay relevant and in the game in a post June 26th world.

Authorities move.

Nonetheless, given the devastating shortfall of infrastructure advancements and despite being placed above India on the pricing chart, only one 10K LDT vessel managed to arrive locally while competing India took in several units during the same time. Domestically as well, fundamentals aren't doing this market any favors as local steel prices remain flatlined across Eid holidays and remained steady at an industry leading USD 616/Ton, in addition to the Pakistani Rupee that also declined 27 basis points against the U.S. Dollar and ended the week at PKR 282.90, inching ever closer to PKR 283.

Playing catch up.

The Iran-Israel war has also affected local fuel and gas prices as local reports confirm fuel hikes through the week. Pakistan's FY 2025 – 2026 too was announced this week with reports that a 20% increase in defense spending is being appropriated after the recent conflict with India, while a potential 2% tax cut on scrap imports is being reported as further details are expected next week. In addition to the recent IMF loan and the sudden realization of local authorities that the HKC will come into force in less than two weeks, it may sadly remain too little too late for Pakistani recyclers, despite recent efforts and favorable vessel offerings, leaving them to playing catch up with the rest of the competition for the remainder of the year, and fall in line once HKC certifications start getting doled out locally.

Overall, as forecasted last week, despite a fragile demand and stronger pricing, Gadani recyclers will be chasing prompt vessels and ship owners will likely continue to chase Indian levels down in order to recycle at an HKC yard.

Slow Q3

Slow Q3 seems imminent.

NO MARKET SALES REPORTED

TURKEY

SILENT HILL!

Turkey returns to a silent market as no interesting reports surfaced from this market this week other than the Lira sinking another 33 basis points and merrily on its way to TRY 40 against the U.S. Dollar as it winds the week down at TRY 39.38.

39.16.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 24 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Weak**	440 / LDT	460 / LDT	470 / LDT
2	Pakistan	**Weak**	430 / LDT	450 / LDT	460 / LDT
3	India	**Weak**	420 / LDT	440 / LDT	450 / LDT
4	Turkey	**Weak**	250 / LDT	260 / LDT	270 / LDT

WEIRD ONES!!

- *The human body glows in the dark. No, seriously. It emits visible light at all times, but our eyes are too weak to see it. So yeah, you're glowing right now, but no one can appreciate it.*
- *It took a long time for the Giant Tortoise to be scientifically recognized because to be catalogued, a sample had to reach London. Turtles turn out to be really, really good to eat.*
- *Your skin doesn't have receptors to let you know if it's wet or not. This is why those sensory deprivation tanks have you floating in it. When the water is warm enough, your skin stops sensing the 'wetness' and you just feel like you're floating in the air.*
- *The difference between less and fewer. 'Fewer' is used when something is countable, ie: Bob has fewer apples than Sally. 'Less' is used when it's not, ie: Bob shows less kindness to horses than Sally.'*
- *That butterflies retain memories from their larval (caterpillar) form. So while it is all goo in the pupa form, something is keeping some memories intact.*
- *If there are 23 people in a room, the probability that two people have the same birthday is over 50%.*
- *There's a thing called the Royal Order of Adjectives. This rule dictates the specific order in which adjectives should be arranged in a sentence, and native speakers follow it instinctively without being taught.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
No more holidays till July	June 09 – June 17 June 22 – June 30

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
No more holidays till July	June 11 – June 14 June 24 – June 27

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No more holidays till July	No more holidays till July	No more holidays till July

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ALANG - Port Position as of June 13, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Asmaa*	*7,616*	*Bulk Carrier*	*Delivered June 10*
2	Bira	2,063	Container	Arrived June 11
3	Conica Atlas	20,001	Oil Tanker	Arrived June 13
4	*Dhezi*	*10,407*	*Oil Tanker*	*Delivered June 12*
5	**Lord 17**	**2,583**	**General Cargo**	**Arrived May 11**
6	*Mimi*	*1,227*	*General Cargo*	*Delivered June 10*
7	Nirvana	9,623	Oil Tanker	Arrived May 07
Total Tonnage		**53,521**		

CHATTOGRAM - Port Position as of June 13, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Sidimi	2,985	RoRo Cargo Vessel	Arrived May 16
		2,985		

GADANI - Port Position as of June 13, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Pacific K	10,386	Bulk Carrier	Arrived June 10
2	*Pete*	*10,176*	*Bulk Carrier*	*Delivered June 05*
Total Tonnage		**20,562**		

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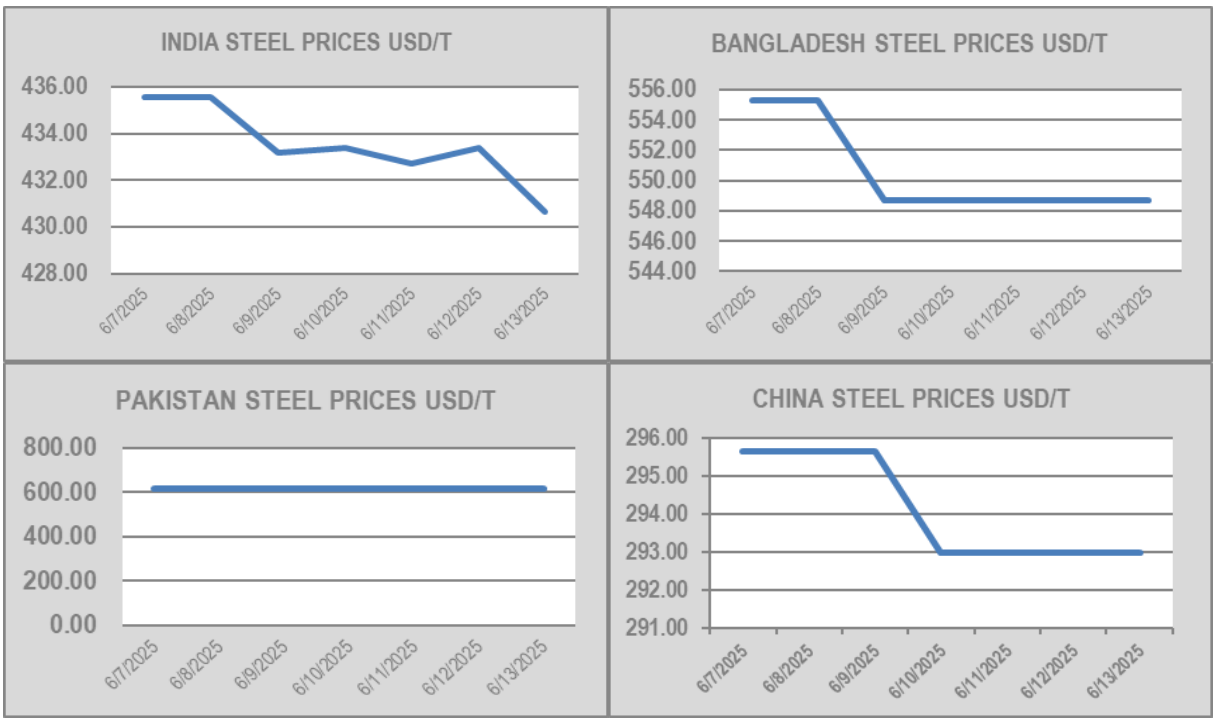
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
6/7/2025	435.54	37,300.00	616.04	174,000.00	555.28	66,500.00	295.65
6/8/2025	435.54	37,300.00	616.04	174,000.00	555.28	66,500.00	295.65
6/9/2025	433.16	37,100.00	616.04	174,000.00	548.68	66,500.00	295.65
6/10/2025	433.41	37,100.00	616.04	174,000.00	548.68	66,500.00	293.01
6/11/2025	432.70	37,000.00	616.04	174,000.00	548.68	66,500.00	293.01
6/12/2025	433.41	37,100.00	616.04	174,000.00	548.68	66,500.00	293.01
6/13/2025	430.64	37,100.00	616.04	174,000.00	548.68	66,500.00	293.01



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